Tribhuvan University
Faculty of Management
Shanker Dev Campus
Preboard Examination, 2026

Full Marks: 100
Time : 3 Hours

BBA / Eight Semester /BNK 202 Financial Derivatives

Candidates are required to give their answers in their own words as far as practicable.

Group A

Brief Answer Questions **[10 x 2 = 20]**

1. State the meaning of financial derivatives?
2. What is the speculation value of call option?
3. Write four assumptions of binomial option pricing model?
4. What is the meaning of synthetic put?
5. Write about the bull spread strategy?
6. State the role of a clearing house in future trading.
7. A put option of ABC stock has an exercise price of Rs 150. The current price of stock is Rs 150. It is selling for a premium of Rs 12. The price of stock at expiration will be Rs 120. What is the gain/loss for put seller?
8. Suppose, the current price of the stock of XYZ Company is Rs 37, the exercise price of call is Rs 40, the risk-free interest rate is 5% per annum and the time to expiration is 0.5 year. Calculate the lower bound of European put.
9. Suppose the current price of the stock is Rs 30. A 3-month call on this stock is selling for Rs 7 and a 3 month put on same stock is selling Rs 3. The exercise price of both call and put is Rs 35. An investor buys a put option and a call option. What is the name of the strategy? What is breakeven price?
10. Consider a 10-month forward contract on a stock with a current price of Rs 50. The risk-free rate is 8 percent per annum with continuous compounding. The stock pays a dividend of Rs 0.75 per share after 3 months, 6 months and 9 months. Calculate the forward price.

Group B

Short Answer Questions (Any SIX) **[6 x 5 = 30]**

11. State and explain the major features of financial derivatives.
12. Explain why interest rate swaps are more widely used than currency and equity swaps?
13. Current stock price of Delta company is Rs 180 per share. A put option on this stock one month to expiration has exercise price of Rs 200 and selling for Rs 45. Another put option on same stock with same time to expiration has exercise price of Rs 190 and selling for Rs 30. Both options are American
    a. Examine whether they confirm the rules regarding American puts that differ only by exercise price
    b. Suggest arbitrage strategy if stock price at expiration (1) decreases to Rs 175, (ii) increases to Rs 225
14. Consider a stock worth Rs 250 that can go up or down by 15 percent per period. The risk free rate is 10 percent. Use one binomial period.
    a. Determine the two possible stock prices for the next period.
    b. Determine the intrinsic values at expiration of a European call option with an exercise price of Rs 250.
    c. Find the value of the option today.
    d. What is the hedge portfolio?
    e. Show that the value of hedge portfolio will be the same for both stocks prices at

15. You have provided the information about options on ABC stock: use Black-Scholes model

Stock variance	0.16
Exercise price of the option	Rs 110
Risk free rate	10% p.a.
Current price of the stock	Rs 100
Time to expiration	1 year
Dividend in 6 months	Rs 3

Required: What is the value of call option and put option?

16. An investor enters into a short future contract at the opening of the market to sell 5,000 bushels of wheat for Rs 2.5 per bushels. The initial margin is Rs 3,000 and the maintenance margin is Rs 2,000.
    a. What price change would lead to a margin call? Calculate the margin call price.
    b. Under what circumstances could Rs 1,500 be withdrawn from the margin account?
17. Consider an asset priced at $50. The risk-free interest rate is 8 percent, and a futures contract on the asset expires in 45 days. Answer the following, with questions, each of which is independent of the others, unless indicated otherwise.
    a. Find the appropriate futures price if the underlying asset has no storage costs, cash flows, or convenience yield.
    b. Find the appropriate futures price if the future value of storage costs on underlying assets at the futures expiration equals $2.25
    c. Find the appropriate futures price if the underlying asset has positive cash flows. The future value of these cash flows is $0.75 at the time of future expiration.
    d. Find the appropriate futures price if the future value of the net overall cost of carry on the underlying assets equals $3.55
    e. Using Part D above, illustrate how an arbitrage transaction could be executed if the futures contract is trading at $60.

Group C

Long Answer Questions (Any THREE) **[3x10 = 30]**

18. What is the risk management? Discuss the rationales for risk management.
19. An investor buys a call and a put on the stock of ABC Company. Both put and call matures 3 months hence. The exercise price of call is Rs 45 and selling at Rs 5. The exercise price of put is Rs 35 and selling at Rs 3.
    a. What is the name of the position created by investors?
    b. Find out the total costs of position?
    c. Calculate the gain or loss of the strategy if ending prices becomes Rs 15, Rs 20, Rs 25, Rs 30, Rs 35, Rs 40, Rs 45, Rs 50, Rs 55, Rs 60 and Rs 65.
    d. Calculate the maximum gain and loss for the position
    e. What are the breakeven prices?
20. An American put option on stock of City Bank has Rs 600 exercise price. The stock is currently selling for Rs 580. The option expires after one-year and there are two binomial periods in a year. At the end of each binomial period, either the stock price increases by 20 percent or deceases by 20 percent. The stock pays Rs 50 dividend at the end of first period. The risk-free rate of interest is 10 percent per annum. Find the value of put option today
    a. Construct binomial price tree and calculate possible stock prices at each node.
    b. Determine the possible prices of the put at expiration.
    c. Calculate the probability of a rise
    d. Find the possible prices of the put at the end of first period.
    e. What is the current price of the put option?
    f. Suppose the actual call is selling for Rs 80. Suggest a strategy.

21. A currency swap with semiannual payments for two years between hypothetical U.S. and Global Swaps, Inc. was entered into on 1 Jan 2021. Both counterparties agreed to pay fixed rate. The notional principals were € 10 million and $ 9.804 million which were equipment with exchange rate of swap initiation date. Assuming 30-day month and 360-day year.

Term	Dollar Rate	Euro Rate
180 days	5.5%	3.8%
360 days	5.5%	4.2%
540 days	6.2%	4.4%
720 days	6.4%	4.5%

a. Calculate the fixed rate in dollar and euro.

b. Assume it is 90 days into the life of swap. The exchange rate now is $ 0.9790/€ and the term structures are as given below:

Term	Dollar Rate	Euro Rate
90 days	5.7%	3.9%
270 days	6.1%	4.3%
450 days	6.4%	4.5%
630 days	6.6%	4.6%

Find the value of swap.

c. Swap contract is the important financial instrument to exchange pattern of payment. In this regard, describe the motives of swap.

Group D

Comprehensive Answer Question **[20]**

You are considering the investing in stock options or stock and options together. As student a finance, you know that both stack and option investments are risky and gain can be multiplied faster in option investment than in stock investment. However, stock investment is less risky than option investment because options are highly levered instruments. Further you are considering the stock and option on stock of Metro Bank Limited (MBL). Today's closing price of MBL is Rs 150. There are actively traded call and put options on MBL. Call options on MBL with Ra 150 exercise price and six months to expiration are selling for Rs 10 and put options on this stock with Rs 150 exercise price and six months to expiration are selling for Rs 5. Due to political instability, the price of MBL, stock now is more volatile. Investors in the market are expecting that stock price increases significantly if political condition is settled. Opposite will occur if political situation became worse.

On the basis of information presented, answer the following questions:

a. If you believe that the political condition will settle soon and you want to speculate in stock, what will you do? How much will you gain/loss if stock price after six months increased t Rs 200 per share?

b. If you believe that the political condition will not settle soon and you want to invest in stock, what will you do? How much will you gain/loss if stock price after six months deceased a Rs 100 per share?

c. If you believe that the political condition will settle soon but you want to speculate in options, what will you do? How much will you gain/loss if stock price after six months increased to Rs 200 per share? At what stock price after 6 months will you make breakeven?

d. If you believe that the political condition will not settle soon but you want to speculate options, what will you do? How much will you gain/loss if stock price after six months decreased to Rs 100 per share? At what stock price after 6 months will you make breakeven?

e. If you believe that the political condition will settle soon and assume that you cannot use the call option, what will be your investment strategy? How much will you gain/loss if stock price after six months increased to Rs 200 per share? At what stock price after 6 months will you make breakeven?

f. If you invested in stock as described in part 'a' but the political condition become worse as oppose your expectation. Now you would like to hedge the stock position with put option. Which strategy will you follow? Show the profit/loss from your strategy at expiration for National prices of Rs 130 to Rs 170 with Rs 10 interval. What stock price at expiration make you breakeven? Plot the graph of your strategy.

g. If you invested in stock as described in part 'a' but the political condition become worse as oppose your expectation. Now you would like to hedge the stock position with call option. Which strategy will you follow? Show the profit/loss from your strategy at expiration for National prices of Rs 130 to Rs 170 with Rs 10 interval. What stock price at expiration will make you breakeven? Plot the graph of your strategy.

Best of luck!!!

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BBA / Eight Semester /BNK 221 Corporate Financing Decision

Candidates are required to give their answers in their own words as far as practicable.

Group A

Brief Answer Questions **[10 x 2 = 20]**

1. What do you mean by a corporate financing decision
2. Define optimal capital structure.
3. What is right offering?
4. Gorkha Herbal company purchase under 2/10 net 30. Annual purchase of the company is Rs.100000. what is the annual percentage cost of not taking discount? Also calculate the effective annual rate. Assume 360 days in a year.
5. B and B Cafe are planning to borrow Rs. 1,000,000 for one year from Nepal Bank. The bank has quoted 10 percent interest but requires 10 percent compensating balance. What is the effective cost of bank loan?
6. Tara pandey, manager of star trading is planning to purchase a car. Market price of the car is Rs.5000000. NB bank provides car loan at 10 percent interest rate. Loan period is 5 years. Calculate equal monthly installment (EMI) amount.
7. A Rs 1000 face value convertible debenture is convertible in to 10 shares of common stock. The marker price per share is Rs 80. What is the conversion price? The conversion premium in percent?
8. What is a warrant? list out its features
9. Write the meaning of preferred stock.
10. What is meant by bankruptcy liquidation?

Group B

Short Answer Questions (Any SIX) **[6 x 5 = 30]**

11. What do you mean by capital structure? What are the factors affecting capital structure decision of a firm? Explain.
12. Define venture capital. Explain the importance of venture capital financing.
13. How a solvent company can be liquidated in Nepal? Explain.
14. Yonge Company must arrange financing for its working capital requirements for the coming year. Yonge can (a) borrow from its bank on a simple interest basis (interest payable at the end of the loan) for 1 year at a 12 percent nominal rate; (b) borrow on a 3-month, but renewable, loan at an 11.5 percent nominal rate; (c) borrow on an installment loan basis at a 6 percent add-on rate with 12 end-of-month payments; or (d) obtain the needed funds by no longer taking discounts and thus increasing its accounts payable. Yonge buys on terms of 1/15, net 60. What is the effective annual cost (not the nominal cost) of the least expensive type of credit, assuming 365 days per year?
15. The Boat Company has current earnings of Rs 3 a share with 500,000 shares outstanding. The company plans to issue 40,000 shares of 7 percent, Rs 50 par value convertible preferred stock at par. The preferred stock is convertible into two shares of common for each preferred share held. The common stock has a current market price of Rs 21 per share.
    a. What is the preferred stock's conversion value?
    b. What is its conversion premium?
    c. If total earnings stay the same, what will be the effect of the issue on basic earnings per share (1) before conversion? (2) on a fully diluted basis?

16. The Public Service (PS) company has warrants outstanding that allow the holder to purchase 3 shares of stock for a total of Rs. 60 for each warrant. Currently, the market price per share of the company common stock is Rs. 18. Investors hold the following probabilistic beliefs about the stock 6 months hence:

Market price per share	Rs. 16	Rs. 18	Rs. 20	Rs. 22	Rs. 24
Probability	0.15	0.20	0.30	0.20	0.15

a. What is the present theoretical value of the warrant?

b. What is the expected value of stock price 6 months hence?

c. What is the theoretical value of the warrant 6 months hence?

17. As one of the minority shareholders of the Bishal Trading Corporation, you are dissatisfied with current operations of the company. You feel that if you could gain membership on the company's board of directors, you could pursue the company to make improvements.The problem is that current management controls 70 percent of the stock, you control only 10 percent and the balance is held by the other minority shareholders. There are a total of 500,000 voting shares. Ten directors will be elected at the next annual stockholders meeting.

a. If voting is non-cumulative, can you elect yourself director?

b. Suppose you can persuade all the minority shareholders that you should be elected. If voting is non-cumulative, can they select you?

c. If voting is cumulative, can you elect yourself as a director?

d. What percent of minority shares other than you own will you need to have voted for you to be certain of election?

e. What is the number of directors the minority shareholders can elect with certainty?

Group C

Long Answer Questions (Any THREE) **[3x10 = 30]**

18. Ram pandit total assets consist of 490 shares Bright Land corporation and Rs 200000 in cash. Bright Land now offers stockholders one additional share at a price of Rs 100 for each five shares held. The current market price of stock is Rs 160.

a. What is the value of each right?

b. What is the Mr. pandit's Total Assets before right offerings?

c. What is the total assets after right offering for each of these alternative

a. He exercises all his rights.
b. He sells all his rights.
c. He sells 400 rights and exercise 90 rights.
d. He neither sells nor exercises the rights.

19. South-West Agro Company is facing liquidity crises since few months. It is planning to loan Rs 1,000,000 for 30 days. Having no source of additional unsecured borrowing, the firm must find a secured short-term lender. The firm is considering using inventories or accounts receivable as collateral. The value of inventory is Rs 3,000,000. The company has the following alternatives:

a. Local Bank will make a Rs 1,000,000 trust receipt loan against the finished goods inventory. The annual interest rate on the loan is 10 percent on the outstanding loan balance plus a 0.10 percent administration fee levied against the Rs 1,000,000 initial loan amount. Because it will be liquidated as inventory is sold, the average amount owed over the month is expected to be Rs 750,000.

b. Regional Bank is willing to lend Rs 1,000,000 against a floating lien on the value of inventory for 30-day period at an annual interest rate of 11 percent.

c. National Bank will loan Rs 1,000,000 against the finished goods inventory and charge 13 percent annual interest on the outstanding loan balance. A 0.1 percent warehousing fee will be levied against the average amount borrowed. Because the loan will be liquidated as inventory is sold, the average loan balance is expected to be Rs 700,000.

d. Suppose the company is considering to raise funds through factoring arrangement. The average receivables outstanding are Rs 1,500,000 and terms are net 30 days. Bishal Bank offers factoring for a 3 percent factoring commission charging 1.2 percent interest per month on advances and requiring a 20 percent factor's reserve. Under this plan, the firm would factor all accounts and close its credit and collection department, saving Rs 480,000 per year.

Calculate the cost of each of the proposed plans for obtaining an initial loan amount of Rs 1,000,000. Which plan should the company use? **(2+1+2+4+1)**

20. The common stock of the Draybar Corporation earns Rs 2.50 per share, has a dividend payout of two-thirds, and sells at a P/E ratio of 16. Draybar wishes to offer Rs 10 million of 9 percent, 20-year convertible debentures with an initial conversion premium of 20 percent and a call price of 105. Draybar currently has 1 million common shares outstanding and has a 50 percent tax rate.

a. What is the conversion price?

b. What is the conversion ratio per Rs 1,000 debentures?

c. What is the initial conversion value of each debentures?

d. How many new shares of common must be issued if all debentures are converted?

e. If Draybar can increase operating earnings by Rs 1 million per year with the proceeds of the debenture issue, compute the new earnings per share and earnings retained before and after conversion.

21. What is financial distress? Briefly explain its impact on a firm's operation.

Group-D

Comprehensive Answer Questions: **[20]**

22. Fewa Securities Inc. has decided to acquire a new market data and quotation system for its Pokhara home office. The system receives current market prices and other information from several on-line data services, then either displays the information on a screen or stores it for later retrieval by the firm's brokers. The system also permits customers to call up current quotes on terminals in the lobby. The equipment costs Rs 500,000, and, if it were purchased, Fewa could obtain a term loan for the full purchase price at a 10 percent interest rate. The equipment is depreciated on straight line methods over 4-year life. Expected salvage value is Rs 50,000. As an alternative to the borrow-and-buy plan, the equipment manufacturer informed Fewa that consolidated leasing would be willing to write a 4-year lease on the equipment, for payments of Rs 200,000 at the end of each year. Fewa's tax rate is 40 percent. You have been asked to analyze the lease-versus-purchase decision, and in the process to answer the following questions:

a. Who are the two parties to a lease contract?

b. Describe the various types of leases.

c. What is Fewa's present value of cost of leasing the equipment? What is the present value of cost of borrow and buy equipment? Would you recommend to purchase or lease the asset?

d. How do you treat repair and maintenance costs in lease versus purchase decision?

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BBA / Eight Semester / BNK 209 Insurance and Risk Management

Candidates are required to give their answers in their own words as far as practicable.

Group A

Brief Answer Questions [10 x 2 = 20]

1. Differentiate between *risk* and *uncertainty*.
2. What is a *hazard* in insurance?
3. Distinguish between *named-perils* coverage and *open-perils* coverage.
4. Explain the concept of *pooling of losses*.
5. What is *commercial liability insurance*?
6. Explain the meaning of "fire" in the context of fire insurance.
7. Explain *risk avoidance* with an example.
8. How is an *endorsement* different from a *rider*?
9. Distinguish between *risk appetite* and *risk tolerance*.
10. What is *Value at Risk (VaR)* analysis?

Group B

Short Answer Questions (Any SIX) [6 x 5 = 30]

11. Differentiate between *pure risk* and *speculative risk* with examples.
12. Explain the concept and key features of *commercial property insurance*.
13. Compare and contrast *traditional risk management* and *Enterprise Risk Management (ERM)*.
14. State the *principle of indemnity* and explain its primary purpose in insurance contracts.
15. Describe the legal doctrines that support the *principle of utmost good faith* in insurance contracts.
16. Explain the *risk control* and *risk financing* techniques that risk managers use to treat loss exposures.
17. Explain why catastrophic losses pose challenge to the insurance mechanism.

Group C

Long Answer Questions (Any THREE) [3x10 = 30]

18. Explain the concept of *loss exposure* and its various types with examples.
19. Discuss the factors influencing rate fixation in fire insurance and explain the methods used to determine rates.
20. Compare and contrast the *term life insurance* and *cash-value life insurance*.
21. Discuss *loss forecasting* as a fundamental activity in risk management

Comprehensive Answer Questions [4 x 5 = 20]

22. Read the following case and answer the questions below:

Shree Sharma, age 35, is a married software engineer residing in Kathmandu. He is the sole breadwinner of his family, which consists of his wife (age 32), a daughter (age 8), and his elderly mother (age 68) who is financially dependent on him. Shree earns an annual salary of NPR 18,00,000. After taxes and his own personal living expenses, he estimates that NPR 12,00,000 per year is available for his family's support. He expects to retire at age 60.

Shree currently owns no life insurance and has approached an insurance advisor for guidance. He has the following financial obligations and goals:

- Outstanding home loan: NPR 50,00,000 (to be paid off immediately upon death)
- Daughter's estimated higher-education fund (required 10 years from now): NPR 30,00,000
- Emergency fund needed: NPR 10,00,000
- Monthly family living expenses: NPR 60,000
- His wife has no independent income but could potentially take up employment after 2 years

The advisor suggests the use of a 7% annual discount rate for present value calculations.

Questions:

a. Using the *Human Life Value (HLV) Approach*, estimate the approximate amount of life insurance Shree should own. Show the logic of your calculation clearly.

b. Apply the *Needs Approach* to determine Shree's total insurance need. You may make reasonable assumptions.

c. Based on Shree's age, family situation, and financial goals, recommend and justify the type of life insurance policy you consider most suitable for him (e.g., Term, Whole Life, Endowment, or Universal Life). Explain any relevant riders you would recommend attaching to the policy.

d. The insurance company informs Shree that premiums for the suggested policy are calculated using the equivalence principle. The assumed interest rate is 7%, and the mortality table shows a probability of death of 0.0020 for a 35-year-old male. If Shree wishes to purchase a 1-year term policy with a face value of NPR 10,00,000, calculate the *Net Single Premium (NSP)* for this one-year policy.

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BBA / Eight Semester /MGT 240 Strategic Management

Candidates are required to give their answers in their own words as far as practicable.

Attempt All questions

Group A

Brief Answer Questions **[10 x 2 = 20]**

1. Define strategic management with suitable components.
2. What do you mean by mission statement?
3. What do you mean by scenario planning?
4. Write about company values with an example.
5. Define hyper-competition.
6. Write about strategic group with suitable example.
7. What do you mean by unrelated diversification?
8. What is strategic intent?
9. What do you mean by strategic change?
10. What is threshold resources?

Group B

Short Answer Questions (Any SIX) **[6 x 5 = 30]**

11. Define strategic management and discuss the characteristics of Strategic Management.
12. What do you mean by vision statement? Discuss the components of vision statement.
13. What is SAP? Why it is prepared?
14. Explain the resource-based view of strategic formulation.
15. Define corporate level strategies with suitable examples.
16. Discuss leadership capabilities for successful strategy implementation.
17. Differentiate between Vision and Mission statement.

Group C

Long Answer Questions (Any THREE) **[3x10 = 30]**

18. What do you mean by Matrix Structure? Discuss the advantages and disadvantages of Matrix Structure.
19. Discuss the Porter's five forces model.
20. Discuss the process of strategic Management with suitable examples.
21. Define Hofer's Matrix. Discuss it's importance.

Group D

Comprehensive answer questions: **[20]**

22. Read the following case carefully and answer the questions that follow:

Apple Computer, Inc., incorporated in 1977 by Steve Jobs, Steve Wozniak, and Ronald Wayne to develop and sell personal computers, was renamed Apple Inc., in 2007 after its focus shifted to consumer electronics. The company, headquartered in Cupertino, California, offered a huge range of high quality mobile communication and media devices that included the iPhone, iPad, Mac, iPod, Apple Watch, and Apple TV and four software

platforms – iOS, OS X, watchOS, and tvOS. It also provided seamless services through its App Stores.

Apple was a company driven by innovation and entrepreneurship and developed products that gratified customer needs. Jobs wanted the company to be value-driven, and believed that it should not compromise on the integrity of the product just for profit. He wanted to position Apple as a 'value leader' not as a price leader and as a premium manufacturer of innovative personal computers.

In 2008, Apple launched its first version of the iPhone and the MobileMe email service, similar to the service provided by the makers of BlackBerry smartphones. Though the company received great reviews for its iPhone, the MobileMe service was called the 'MobileMess'. Users complained of loss of emails and faulty synchronization. Shortly after the launch and receipt of critical feedback, Jobs, enraged by the public humiliation, called the team of MobileMe for a crisis meeting at the Town Hall auditorium, Building 4, Apple Campus – the venue commonly used for confidential product presentations for journalists...

Tim Cook was chosen by Jobs to be the Senior Vice President of Worldwide Operations in March 1998. Jobs wanted someone who had had experience in just-in-time manufacturing and took nearly a year searching for the right candidate before zeroing in on Cook...

Jobs created a unique culture and ensured that his employees internalized whether it was perfectionism, innovation, or as simple as productivity in a meeting...

Answer the following questions

a) Point out the main pricing strategy that the Steve Jobs wanted to implement.
b) What strategy did Apple Company applied to bring are electronic goods in the market?
c) What was the reason behind the "Mobile-Mess". Whom you would blame and why?
d) What were the overall secrets of the Company success? What suggestion you would like to give to Apple Company to improve its efficiency and performance?